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Principles of Management 2.0

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Chapter 6



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Goals and Objectives

- ❖ **Demonstrate an understanding of the nature of goals and objectives and their importance to effective management**
- ❖ **Learn how our thinking about goals and objectives has evolved**
- ❖ **Be able to explain what characterizes good goals and objectives**
- ❖ **Show an understanding of the roles of goals and objectives in employee performance reviews**
- ❖ **Map out relationships among economic, social, and environmental goals and objectives**
- ❖ **Learn how to set and manage your own goals and objectives**

GOALS AND OBJECTIVES IN THE P-O-L-C FRAMEWORK

Planning	Organizing	Leading	Controlling
1. Vision & Mission 2. Strategizing 3. Goals & Objectives	1. Organization Design 2. Culture 3. Social Networks	1. Leadership 2. Decision Making 3. Communications 4. Groups/Teams 5. Motivation	1. Systems/Processes 2. Strategic Human Resources

WHAT ARE GOALS AND OBJECTIVES?

Goals are
outcome
statements that
define what an
organization is
trying to
accomplish



WalMart
*
Increase
revenue
by 20
percent
annually

Objectives are
very precise,
time-based, and
measurable
actions that
support the
completion of a
goal



WalMart
*
Open
twenty
new
stores by
year end



Measurement Challenges

Organizations emphasize historical financial goals and objectives that may no longer be relevant.



Financial outcomes are often short term in nature which lead managers to overlook other key factors that might be important to the longer-term viability of the organization.



Goals and objectives are often not tied to strategy and ultimately to vision and mission.

GOALS AND OBJECTIVES IN P-O-L-C

Gauge and report performance

Improve performance

Align effort

Manage accountabilities

Goals and Objectives in Planning



Discussion

- What is the difference between a goal and an objective?
- Alone or in a group, think of some specific objectives related to something you care about deeply. No, what is the relationship between your objectives and potential specific goals you may have?
- What characteristics should a good objective have?
- What four broad ways do goals and objectives fit in the P-O-L-C framework?
- How are goals and objectives relevant to leadership?
- In what ways do goals and objectives help managers control an organization?

Management by Objectives (MOB)

Peter Drucker

The principle behind MBO is to ensure that people know what the organization is trying to achieve and what their role should be in accomplishing those objectives.

Management by Objectives (MBO)

A systematic and organized approach that aims to increase organizational performance by aligning the subordinate objectives throughout the organization with the overall goals set by management.

In 1975, Steve Kerr published an article now considered a classic within the management field titled "On the Folly of Rewarding A, While Hoping for B." In it, he noted numerous examples where systems rewarded an outcome much different than what the organization hoped to achieve. Here, we illustrate several reward follies.

<i>Health care</i>	In "pay-for-service" facilities, where doctors are not salaried, they may order unnecessary procedures, resulting in waste and inflated bills.	
<i>Education</i>	While society hopes professors will aspire to become excellent teachers, many universities largely base faculty rewards on their publications and grant dollars generated.	
<i>Sports</i>	Most coaches and professional sports owners preach the value of teamwork, yet most rewards are given for individual accomplishments.	
<i>Business</i>	While providing honest feedback should be encouraged in organizations, giving bad news to the boss is rarely rewarded.	

THE BALANCED SCORECARD

Robert Kaplan and David Norton

A framework designed to translate an organization's mission and vision statements and overall business strategy into specific, quantifiable goals and objectives and to monitor the organizations performance in terms of achieving those goals.

THE BALANCED SCORECARD

Because the concept of organizational performance is multidimensional, wise managers realize that understanding organizational performance is like flying a plane: pilots must be on track in terms of altitude, air speed, and oil pressure and make sure they have enough gas to finish their flight plan. For tracking organizational performance, assessing how the organization is doing financially is just a starting point. The "balanced scorecard" encourages managers to also monitor how well the organization is serving customers, managing internal activities, and setting the stage for future improvements. This provides a fast but comprehensive view of the organization. As shown below, monitoring these four dimensions also can help individuals assess themselves.

Financial measures –

such as *return on assets* and *stock price* – relate to effectiveness and profits.

You could ask yourself:

How can I improve my personal wealth? Measures might include cash, savings account, and retirement.



Customer measures –

such as *number of new or repeat customers* and *percentage of repeat customers* – relate to customer attraction and satisfaction.

You could ask yourself:

How strong is my social network? The number of new contacts you make over time might reflect this dimension.



Internal business process measures –

such as *speed at serving a customer* and *time it takes to create a new product and get it to market* – relate to organizational efficiency.

You could ask yourself:

Am I getting better at my current job? Tracking improvements in personal efficiency such as the time needed to complete a task can be helpful.



Learning and growth measures –

such as the *average number of new skills learned by each employee every year* – relate to the future and emphasize that employee learning is often more important than formal training.

You could ask yourself:

What skills should I develop now for the future? Although the acquisition of new skills is hard to measure, the attainment of specialized licenses or earning of a graduate degree are tangible benchmarks.



Balanced Scorecard Dimensions

- Performance measures in the balanced scorecard can include both leading and lagging indicators
 - **leading indicators:** measures that might be examined to predict poor performance of the organization in the future (such as increase in employee turnover)
 - **lagging indicators:** reflect performance that is in decline (such as a decrease in sales)

Balanced Scorecard Dimensions

- The Balanced Scorecard focuses on four types of measures:
 1. **Customers** (looks at customer satisfaction and retention)
 2. **Learning and growth** (explore the effectiveness of management in terms of measures of employee satisfaction and retention and information system performance)
 3. **Internal processes** (looks at production and innovation, measuring performance in terms of maximizing profit from current products and following indicators for future productivity)
 4. **Financial performance** (most traditional; includes assessments of measures such as operating costs and return-on-investment)

The Balanced Scorecard in Practice

**Translating the
vision**

**Communicating
and linking**

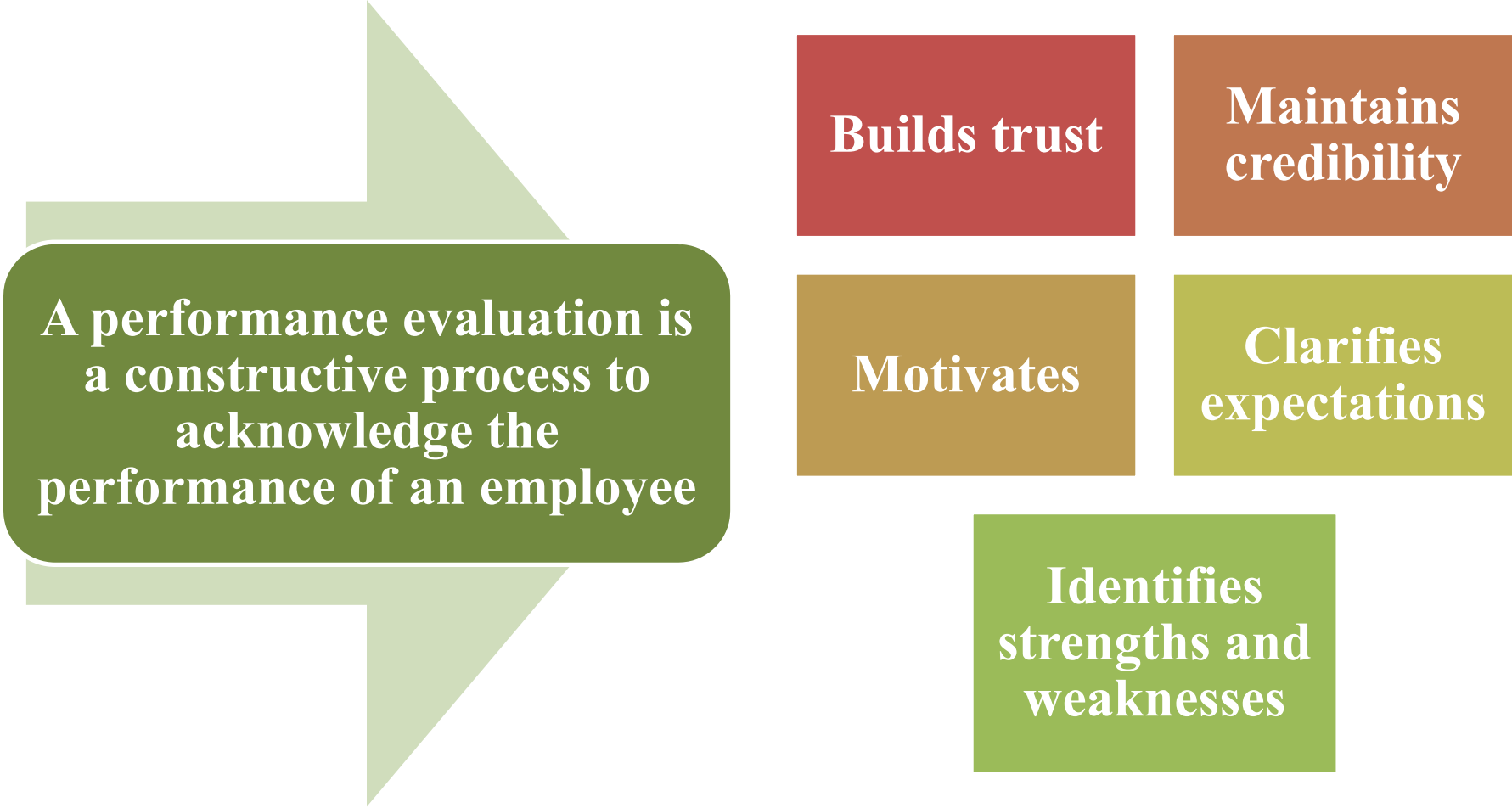
Business planning

**Feedback and
learning**

Discussion

- Provide an example of a job where management by objectives (MBO) would be challenging to use. Defend your answer.
- What are the advantages and disadvantages of MBO?
- Apply the balanced scorecard to your college or university.
- Provide examples of performance measures for each balanced scorecard dimension that would be relevant to understand the performance of a coffee shop.

Integrating Goals and Objectives with Performance Evaluation



A performance evaluation is a constructive process to acknowledge the performance of an employee

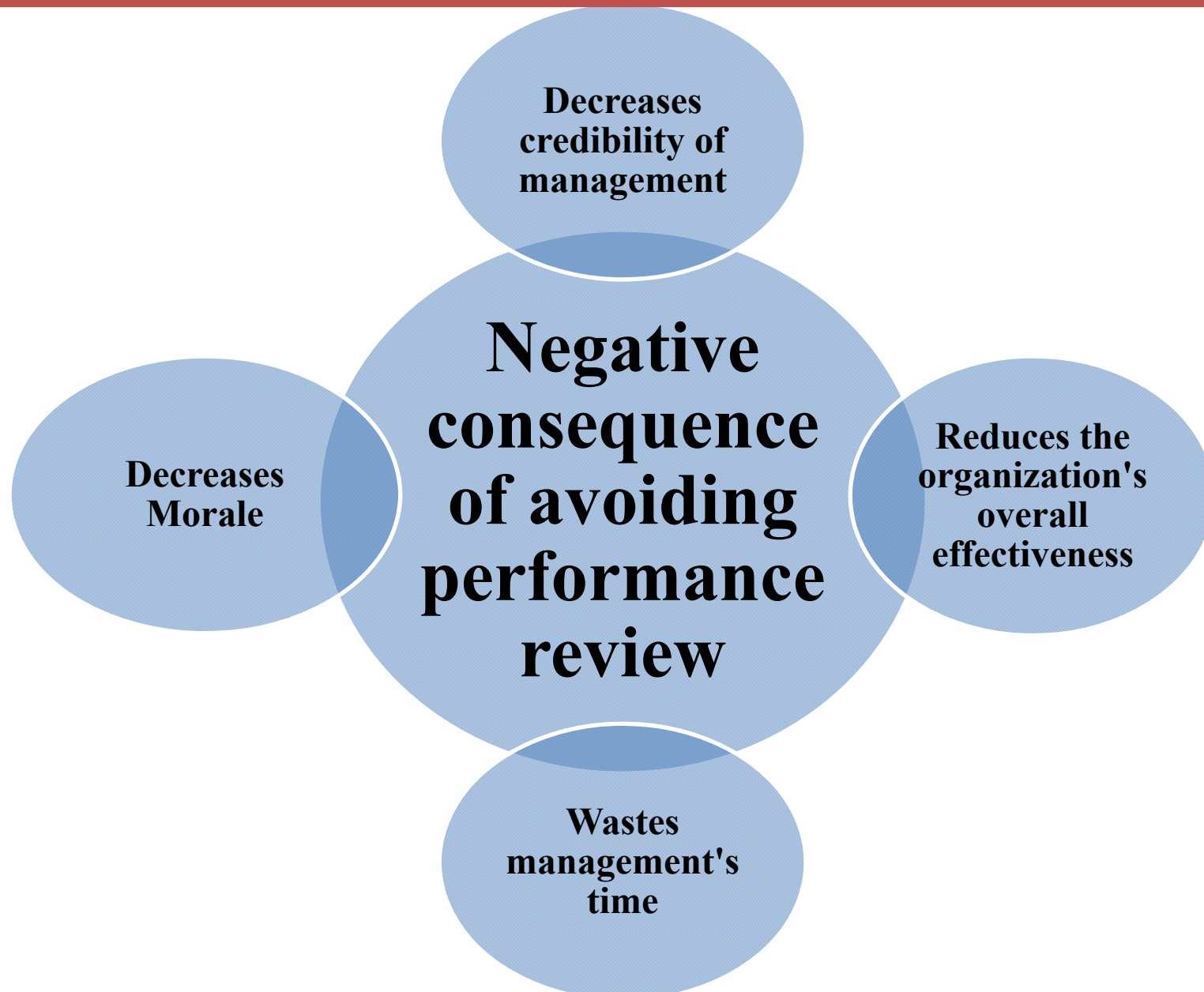
Builds trust

Maintains credibility

Motivates

Clarifies expectations

Identifies strengths and weaknesses



EMPLOYEE INFORMATION

Name:

Department:

Supervisor:

Employee ID:

Employee Job Title:

Supervisor Job:

RATINGS

	Poor	Fair	Satisfactory	Good	Excellent
Job Knowledge —Understands duties, responsibilities, has ability to use materials needed, and has the level of proficiency required to accomplish the work. <i>Comments</i>	☐	☐	☐	☐	☐
Work Quality —Accuracy, thoroughness, dependability of results. <i>Comments</i>	☐	☐	☐	☐	☐
Attendance —Reports to work as scheduled. Follows established procedures for breaks. Notifies supervisor in advance of scheduling changes. <i>Comments</i>	☐	☐	☐	☐	☐
Initiative —Ability to be self-directed, efficient, creative, and resourceful. Assumes extra work on own initiative, adapts quickly to new responsibilities. <i>Comments</i>	☐	☐	☐	☐	☐
Work Attitude and Cooperation —Extent to which employee demonstrates a positive attitude, and promotes cooperation with supervisors, peers and others. <i>Comments</i>	☐	☐	☐	☐	☐
Dependability —Extent to which employee can be counted on to carry out instructions and fulfill job responsibilities accurately and efficiently. <i>Comments</i>	☐	☐	☐	☐	☐
Overall Rating					

Sample Employee Evaluation Form

Individual Performance Review

Preparation

- Document achievements
- Organize as evidence of results gained

What if the result is unfavorable?

- Was it truly unjustified?
- Are you just sensitive to criticism?
- If justified, schedule a follow-up appointment

What have you learned?

- Did you have clear goals and objectives such that your performance was easy to document?
- Can you take away valuable information?

Best Practices to Manage Performance Evaluations

1. Decide what you are hoping to achieve from the system.
2. Develop goals and objectives that inspire, challenge, and stretch people's capabilities.
3. Ensure you have commitment from the top.
4. Ensure that all key staff are involved in the development of the performance management processes from the early phases.
5. If the performance management system is not linked to salary, be sure employees are aware of it.
6. Provide additional training for supervisors on how to conduct the midyear and year-end performance reviews.
7. Plan to modify the performance management system over time, starting with goals and objectives, to meet your organization's changing needs.

Discussion

- How are goals and objectives related to employee performance evaluation?
- How often should performance evaluations be performed?
- What kinds of goals and objectives might be best for performance evaluation to be most effective?
- What should be included in an employee performance plan?
- What performance evaluation best practices appear to most directly involve goals and objectives?

Goals and Objectives should...



**reinforce the
organization's strategy...**



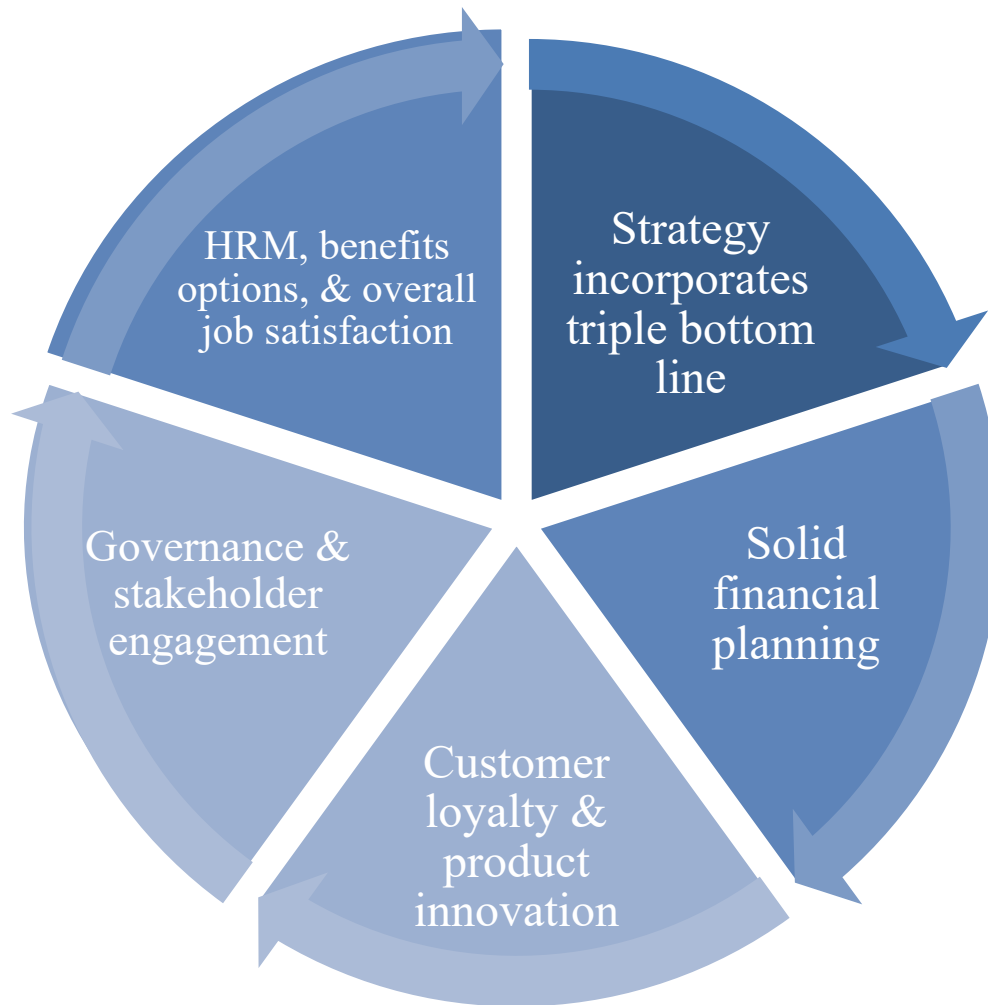
**which ultimately achieves the vision and
mission of the organization.**

Dow Jones Sustainability Index defines Corporate Social Responsibility

A business approach that creates long-term shareholder value by embracing opportunities and managing risks deriving from economic, environmental and social developments

Five areas of competence

Dow Jones Sustainability Index



Measuring Corporate Social Performance

Corporate social performance is defined as the degree to which a firm's actions honor ethical values that respect individuals, communities, and the natural environment. Determining whether a firm is socially responsible is somewhat subjective, but one popular approach has been developed by KLD Research & Analytics. Their work tracks "strengths" and "concerns" for hundreds of firms over time. KLD's findings are used by investors to screen socially responsible firms and by scholars who are interested in explaining corporate social performance. We illustrate the six key dimensions tracked by KLD below.



Community strengths include engagement in charitable giving, while involvement in tax controversies exemplifies a community concern.



Product quality/ safety strengths include actions such as the establishment of a well-developed quality program, while concerns arise if a firm receives fines related to product quality and/or safety.



Diversity strengths include progressive programs for the employment of the disabled, whereas fines or civil penalties that result from an affirmative action constitute a concern.



A no-layoff policy is a strength in regard to **employee relations**, while poor union relations are a concern.



Environmental strengths include engaging in recycling, while concerns arise when penalties for air or water violations are documented.



Corporate governance strengths include equitable levels of compensation for top management and board members, while concerns are raised if controversies related to accounting, transparency, or political accountability are discovered.

Discussion

- What does corporate social responsibility mean?
- Why might it be challenging for organizations to effectively set and achieve social and environmental goals and objectives, in addition to their operating goals and objectives?
- Why might an organization pay greater attention to adding social and environmental goals and objectives today than, say, 10 years ago?
- What is meant by “virtuous cycle” with respect to CSR?
- How does a Balanced Scorecard help managers develop social and environmental goals and objectives?
- In what ways does achievement of CSR goals and objectives strategically differentiate an organization?

From an Organizational Scorecard to a Personal One

- As with an organization's mission and vision, your personal mission and vision reflect who you are and where you want to go.
 - Which values and principles guide your way?
 - What are your most deeply cherished aspirations?
 - How do you distinguish yourself in society and among your peers and family?

From an Organizational Scorecard to a Personal One

- Goals and roles are set out with respect to the areas of financial, others, individual strengths, and learning and growth.
 - Financial captures your needs and aspirations about money, as well as the financial obligations
 - Others reflect goals that you have in relation to other individuals or society at large. How do you want to be seen?
 - Individual strengths represent the internal perspective, reflecting goals related to your health and well-being.
 - Learning and growth refer to your skills, abilities, and aims with regard to personal and professional learning and growth.

Creating SMART Goals

While missions and visions provide an overall sense of the organization's direction, goals are narrower aims that should provide clear and tangible guidance to employees. The most effective goals are those that are SMART (specific, measurable, aggressive, realistic, and time-bound). SMART goals help provide clarity, transparency, and accountability. As detailed below, one SMART goal is Coca-Cola's aim to "by 2012, improve our water efficiency by 20%, compared with a 2004 baseline."

Specific	Coca-Cola is seeking to improve its water efficiency by a specific amount—20%. In contrast, goals such as "do your best" are vague, making it difficult to decide if a goal is actually reached.	
Measurable	Water efficiency can be calculated, so Coca-Cola is able to track its progress relative to its 20% target. If progress is slow, more resources can be devoted to achieving the goal.	
Aggressive	A series of research studies have established that performance is strongest when goals are challenging but attainable. Reaching a 20% improvement will require aggressive work by Coca-Cola, but the goal can be reached.	
Realistic	If Coca-Cola's water efficiency goal was 95% improvement, Coca-Cola's employees would probably react with surprise. Reaching a goal must be feasible in order for employees to embrace it. Unrealistic goals make most people give up. And basing goals on impossible clichés, such as "give 110%" creates confusion.	
Time-bound	Coca-Cola is seeking to achieve its 20% improvement by 2012. Some universities, such as Texas Tech University, provide incentives, including preferred scheduling for students who sign contracts agreeing to graduate on a four-year schedule. Deadlines such as these are motivating and they create accountability.	

Many of the principles for effective organizational vision, missions, and goals apply to individuals too. Here are some ideas that might help you think differently about your own aspirations and how you are working to reach them.

VISION

Young children often have grandiose visions, such as "I want to be the president of the United States." Now that you are in college, what do you aspire to become? Is your education setting the stage for you to reach this vision?



MISSION

Is your mission in life simply to accumulate as much wealth as you can? Or do you also place value on your role in a family and as a member of society?



MEASURABLE

Quantifying your goals allows you to track your accomplishments over time and can help reduce stress. For example, meeting a goal of "write a page every day" might prevent panic the night before an important project is due.

AGGRESSIVE

Creating aggressive educational goals (e.g., maintain a 3.5 GPA) is likely to lead to higher performance than minimal goals (e.g., pass all my classes).

REALISTIC

To better understand your prospects in the job market, consider researching what kinds of jobs are common for your major and experience level.

SPECIFIC

Do you create explicit rather than vague goals for yourself? This can help you to target your energy toward what is important.



TIME-BOUND

Time management is a challenge in today's world. If you tend to procrastinate, setting interim deadlines for yourself might help you to stay on schedule.

Be SMART: Vision, Mission, Goals, and You

Discussion

- What can you achieve by applying the concept of a Balanced Scorecard to your personal situation?
- How similar or different does the scorecard seem to function at an individual level as opposed to an organizational level?
- What are key characteristics of effective objectives?
- Why should personal objectives and measures of performance be specific?
- What are some of the activities you can undertake to implement your scorecard?
- When is the implementation of a personal Balanced Scorecard completed?